HFCL Ltd: Concall Tracker

Telecom, optical fibre and defence electronics maker · Screener ticker HFCL · Quarter folder Q1-2027 · Builds on the Q4-2026 report · Latest call read: Q1 FY27 (22 Jul 2026)

This is not investment advice. Do your own due diligence.

1. Snapshot

What the business does: HFCL makes the physical parts of internet and telecom networks. It draws optical fibre (the glass strands that carry data), turns it into cable, and now also makes the plug-and-play fibre assemblies that go inside data centres. It also sells India-designed telecom gear (routers, radios, Wi-Fi), builds networks as a contractor, and is growing a defence arm (radars, electronic fuzes, thermal sights, ammunition).

Number	Value	Plain read
Q1 FY27 revenue (consolidated)	₹1,915 cr	Biggest quarter ever. More than double the ₹871 cr of a year ago and a bit above the ₹1,824 cr of the March quarter.
Q1 FY27 operating profit (EBITDA = profit before interest, tax, depreciation)	₹445 cr	Over ten times last year's ₹43 cr. The business has gone from barely breaking even to very profitable in twelve months.
EBITDA margin	23.25%	About ₹23 of operating profit on every ₹100 of sales, up from about ₹5 a year ago and ₹18 last quarter.
Q1 FY27 net profit	₹246 cr	Versus a loss of ₹29 cr a year ago. Another record.
Order book	₹26,665 cr	Confirmed work worth about five years of FY26 sales. Most of it (about ₹22,000 cr) is due within five years.
Debt to equity	~0.3	For every ₹100 of shareholder money, about ₹30 of borrowing. Comfortable, and management says it'll stay there.
Market value / P/E (Screener, at writing)	~₹32,350 cr / ~47	Investors pay about ₹47 for each ₹1 of yearly profit. Still rich, though much less stretched than the ~130 at the last report because profits have jumped.

Screener's standalone table shows a lower Jun-2026 quarter (₹1,608 cr sales, ₹179 cr profit); the gap is subsidiaries such as HTL. Management talks in consolidated figures, used above.

2. Concall coverage

Quarter	Call date	Read?
Q1 FY24 → Q3 FY26 (11 calls)	Jul 2023 → Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	30 Apr 2026	Carried forward from the Q4-2026 report
Q1 FY27	**22 Jul 2026**	**Newly deep-read in full ★**

Thirteen calls in all, a bit over three years. The Q2 FY27 call (Oct 2026) exists but is outside this report's window and wasn't read.

2b. Latest concall highlights: Q1 FY27 (22 Jul 2026)

- **Record everything.** Revenue ₹1,915 cr, EBITDA ₹445 cr, net profit ₹246 cr, order book ₹26,665 cr, all company highs. The ₹300 cr of unbilled work left over from March was billed this quarter.
- **Guidance doubled.** FY27 sales growth aspiration raised from about 20% to "40% and above". Margin was meant to cross 20% this year; it hit 23.25% in the first quarter, and the MD said that's the floor he expects to hold, with no seasonality.
- **Data-centre connectivity is the new leg.** First year of selling fibre assemblies to data centres: about ₹100 cr in Q1, about ₹800 cr expected for the year, ₹850 cr+ of orders in hand. Capacity is being expanded five times, and the board approved another ₹215 cr for it on the call day.
- **Defence target restated.** About ₹500 cr of defence revenue in FY27 "firmly on track" (including the aerospace business being acquired). New talk of ₹3,000 cr+ in FY29 and ₹5,000 cr within three years. Ammunition complex in Andhra Pradesh had its ground-breaking on 15 May 2026.
- **Tone:** very confident, at times combative with analysts. The MD sees fibre demand outrunning supply for "at least 5 years" and hinted at more capacity.

2c. Business mix & capacity

- **Domestic vs export:** Exports ₹1,063 cr in Q1, about 56% of sales (from 41% for FY26 and 12% for FY25). Management expects roughly 60:40 export to domestic for the year. Read: more than half the money now comes from abroad, mostly US data centres.
- **Capacity:** Plants were full at the last report. Fibre 28 → 34 million fibre-km and cable 34 → 43 million fibre-km, both due by Dec 2026; high-count data-centre cable already at about 14 million fibre-km and growing monthly. Read: growth from here depends on new lines arriving on time.
- **Capex:** about ₹640 cr this year and ₹615 cr next, including the ₹580 cr preform (raw glass) plant whose site is still being chosen.

2d. Since our last report (builds on Q4-2026, call 30 Apr 2026)

Prior verdicts: **Trigger YES**, **Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: fibre export upcycle	Real and live, plants at 100%, US$1.1 bn contract	Another record quarter, exports up again, margin jump, guidance doubled, order book up from ₹21,200 cr to ₹26,665 cr	Confirmed
Consistency	Right story, chronically late on timelines	This quarter beat its own margin target and billed the leftover work as promised	Improving
US$1.1 bn contract start (end Q1 FY27)	Pending	Data-centre cable deliveries "start this month", smaller connectivity products a month later	On-track
Defence electronic-fuze order	Slipped for 2+ years	No fuze order announced; ammunition plant only at ground-breaking. Big defence numbers now pinned on an acquisition and future Army trials	Slipping
Capacity expansion by Dec 2026	Under way	"Progressing well", dates unchanged	On-track
Preform plant (₹580 cr)	Just approved	Site still not chosen; savings pegged at 10-12% of raw material cost	On-track (early)
Army maintenance contract (EPC losses)	Expected soon	Now "mid of Q2", "government things can change"	Slipping

Verdict change: Trigger stays YES, now stronger. Consistency stays MAYBE: the fibre side delivered and then some, but the defence and project promises are still moving to the right.

3. Earning-trigger thesis ★

AI data centres need huge amounts of high-count fibre cable, and US buyers don't want Chinese supply. HFCL is one of only two Indian makers able to make the very high-count cables these buyers want, and it has locked in multi-year contracts. That's already turned into record sales and a margin that nearly quintupled in a year. A second leg, data-centre connectivity assemblies, started this year and carries better margins. Defence is the long-dated third leg.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Fibre cable exports to data centres	Demand beats supply for 5+ years; 40%+ growth in FY27	Exports ~56% of Q1 sales; margins 23%; order book ₹26,665 cr	Now → 3-5 yrs	Strong. It's in the numbers.	↑ guidance doubled, margins up
Data-centre connectivity assemblies	~₹800 cr in year one; capacity 5x	~₹100 cr in Q1, ₹850 cr+ orders	FY27-FY28	Moderate. New but already selling.	↑ new leg, fresh ₹215 cr capex
Defence & aerospace	~₹500 cr FY27; ₹3,000 cr+ by FY29	Own defence order book only ~₹300 cr; acquisition adds ~₹2,000 cr	FY27-FY30	Weak. Mostly bought, not built.	unchanged; target got bigger, proof didn't
Preform backward integration	Make raw glass 30% cheaper than buying	Approved, site not picked	FY28+	Unproven	unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY25	Equipment to ₹2,000 cr; fibre recovery "from Q2 FY25"	Equipment about half that; recovery pushed out four times; FY25 losses	Missed
FY26	"Breakout year", ~25% growth	Sales +22%, profit nearly doubled	Delivered
Q4 FY26 → Q1 FY27	~20% growth, margin above 20%, bill leftover ₹300 cr	Margin 23.25% in Q1, ₹300 cr billed, growth guide raised to 40%+	Delivered (beat)
FY24 → now	Electronic-fuze order "next quarter"	Still no order after 2+ years	Missed / slipping
FY27	Army contract to cut project losses by Q2	Pushed to "mid Q2" with caveats	Too-early
Restructuring	Committee to simplify the group	EY hired as advisor; no outcome yet	Too-early

Narrative drift: The core story hasn't moved in three years: more products, more fibre, more exports, a defence arm. What's changed is that the fibre cycle turned hard in HFCL's favour, and this time management under-promised and over-delivered. The defence story is the odd one out. Each call the target gets bigger (now ₹5,000 cr in three years) while the home-grown proof stays thin, and the near-term defence numbers lean on an acquisition held in a subsidiary that HFCL owns only part of. Tone has shifted from defensive to openly bullish.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing weakened it; a lot strengthened it. Record sales and margins, a bigger order book, a second data-centre product line already selling, and growth guidance doubled. The risk is that it's a cycle: rivals like Prysmian and Corning are adding capacity, and preform (raw glass) prices reset from early next year. Management says long

contracts and better products cover that. On the question asked, the trigger is real, named, and showing up in every line of the results.

Management consistent? → MAYBE vs last quarter: unchanged (improving)

This quarter moved it up a notch: they hit their margin target in the first quarter of the year and did what they said on billing. But the record still has the FY24-FY25 misses, the fuze order that never comes, and project-loss fixes that keep sliding by a month or two. The defence ambition keeps growing faster than the evidence. One great quarter on the fibre side doesn't erase that, so it's MAYBE, leaning better.

Prepared from HFCL earnings-call transcripts via Screener.in (Q1 FY24 to Q1 FY27) and Screener financial tables. Consolidated figures unless noted. Not investment advice.